

Apple, as great as it has been and is, won't become a 100-bagger from current levels. The market values the stock at \$750 billion. A hundredfold return from here would take it to \$75 trillion. That's more than four times the size of the US economy. It could be a good stock for some time yet, but the law of large numbers starts to work against you at some point.

On the other hand, you shouldn't assume you need to dive into microcaps and buy 25-cent stocks. The median sales figure of the 365 names in the study was about \$170 million. This is unadjusted for inflation. It simply shows you that 100-baggers can start off as sizable companies. Sales of \$170 million makes for a substantial business in any era.

As a general rule, I suggest focusing on companies with market caps of less than \$1 billion. Not a necessity (remember, smaller companies "preferred"), but staying below such a deck will make for a more fruitful search than staying above it.

#6 Owner-Operators Preferred

We spent a whole chapter on this idea. Many of the greatest businesses of the last 50 years had a human face behind them — an owner with vision and tenacity and skill: Sam Walton at Walmart. Steve Jobs at Apple. Jeff Bezos at Amazon. Warren Buffett at Berkshire Hathaway. The list is fairly long and we've mentioned several of them in prior chapters.

Having a great owner-operator also adds to your conviction. I find it easier to hold onto a stock through the rough patches knowing I have a talented owner-operator with skin in the game at the helm.

I would also remind you of something you should never forget: No one creates a stock so you can make money. Every stock is available to you only because somebody wanted to sell it.

Thinking about that in the abstract, there seems to be no reason why you should expect to make money in a stock. But investing with owner-operators is a good reason to think you will. Because then you become a partner.

You invest your money in the same securities the people who control the business own. What's good for them is good for you. And